INTRODUCTION

Long-term assets such as property, plant, and equipment and intangibles typically account for most issuers' assets and are employed to generate economic benefits for many years. While an "economic" balance sheet would include a wide range of assets such as a company's reputation and its trained, experienced workforce, "accounting" balance sheets prepared under IFRS and US GAAP permit the recognition of a narrow range of assets. Once a long-lived asset is recognized, either the cost or revaluation models are used for measurement, while US GAAP requires the cost model. The choice of different methods and varying accounting policies for long-lived assets can create challenges for analysts comparing companies.

Learning Module Overview

- IFRS requires expensing research costs but allows development costs (not only software development costs) to be capitalized under certain conditions. Generally, US GAAP requires that both research and development costs be expensed; however, certain development costs related to software must be capitalized.
- When one company acquires another company, the transaction is accounted for using the acquisition method of accounting in which the company identified as the acquirer allocates the purchase price to each asset acquired (and each liability assumed) on the basis of its fair value. Any excess of the purchase price over the fair value of net identifiable assets acquired is recorded as goodwill.
- The capitalized costs of long-lived tangible assets and of intangible assets with finite useful lives are allocated to expense in subsequent periods over their useful lives. For tangible assets, this process is referred to as depreciation, and for intangible assets, it is referred to as amortization.
- Long-lived tangible assets and intangible assets with finite useful lives are reviewed for impairment whenever changes in events or circumstances indicate that the carrying amount of an asset may not be recoverable.
- Intangible assets with an indefinite useful life are not amortized. Instead, they are reviewed for impairment annually.
- In contrast with depreciation and amortization charges, which serve to allocate the cost of a long-lived asset over its useful life, impairment charges reflect an unexpected decline in the fair value of an asset to an amount lower than its carrying amount.
- IFRS permit impairment losses to be reversed, with the reversal reported in profit. US GAAP do not permit the reversal of impairment losses.
- The gain or loss on the sale of long-lived assets is computed as the sale proceeds minus the carrying amount of the asset at the time of sale.

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